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News Release

CANADA BREAD REPORTS THIRD QUARTER 2009 FINANCIAL RESULTS

TORONTO, Oct. 28, 2009 (Canada NewsWire via COMTEX) -- Canada Bread Company, Limited (TSX: CBY) today reported its financial results for the third quarter ended September 30, 2009.

- Net earnings per share increased to $0.99 compared to $0.77 last year
- Adjusted Operating Earnings increased to $36.9 million from $31.9 million
- Sales declined to $424.6 million from $443.1 million last year
  Note: Adjusted Operating Earnings are defined as earnings from operations before restructuring and other related costs and other income (expense). Adjusted Earnings per Share ("Adjusted EPS") are defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax.

"Our organization has achieved steady earnings growth despite challenging global economic conditions," said Richard Lan, President and CEO. "We are steadfastly focused on growing sales through deepening our relationships with customers, delivering more product innovation to appeal to consumers, and developing lots of excitement and momentum internally around our market wins and opportunities ahead."

Financial Overview

Sales for the third quarter decreased by 4.2% to $424.6 million compared to $443.1 million last year due to lower volumes and a moderate change in mix from specialty to staple products primarily in the U.K.

Adjusted Operating Earnings increased 15.9% to $36.9 million compared to $31.9 million last year, while net earnings increased 27.0% to $25.1 million compared to $19.7 million last year.

The following is a summary of Adjusted Earnings per Share:

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	Third Quarter		Year-to-Date	
Per share	2009	2008	2009	2008
EPS	$0.99	$0.77	$2.46	$1.51
Restructuring and other related costs(i)	0.02	$0.16	$0.04	$0.23
Adjusted EPS(ii)	$1.00	$0.93	$2.50	$1.75

(i) Includes impact of restructuring and other related costs, net of tax.
(ii) Does not add due to rounding.

Business Segment Review

Following is a summary of Adjusted Operating Earnings by business segment:

($ thousands)	Third Quarter		Year-to-Date	
	2009	2008	2009	2008
Fresh Bakery	$33,260	25,985	$71,457	51,131
Frozen Bakery	3,655	5,874	19,949	12,670
Adjusted Operating Earnings	$36,915	31,859	$91,406	63,801

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Fresh Bakery (Fresh bakery products, sweet goods, sandwiches, and

specialty fresh pasta and sauces)

Fresh Bakery sales in the third quarter declined by 1.0% to $287.3 million, from $290.2 million last year, mainly due to lower sales of fresh sandwiches. Sales of fresh bakery products were largely consistent with the third quarter of 2008.

Adjusted Operating Earnings increased to $33.3 million in the third quarter compared to $26.0 million last year. The fresh bakery and pasta operations realized improved margins as a result of lower commodity prices, although the benefit was partly mitigated by a weaker Canadian dollar, which increased the cost of U.S. dollar priced flour and other ingredients. Earnings from the fresh sandwich business, which includes the 2008 Aliment Martel acquisition, have not met expectations. Management considers the business to be an important part of its growth strategy and is actively working on initiatives to improve its market share and profitability.

Fresh Bakery launched several exciting new innovative products in the quarter aimed at supporting margin and category expansion. Dempster's(R) OvenFresh(TM) is a line of fresh, long life white and multigrain baguettes and dinner rolls that finish baking at home in minutes. Under a licensing agreement, the Company has also launched Cadbury(TM) Snack Cakes in Eastern Canada, an exciting new addition to its sweet goods offerings in the region.

Frozen Bakery (North American and U.K. frozen bakery products; including

frozen par-baked and specialty bakery products)

Frozen Bakery sales decreased by 10.2% to $137.3 million from $152.9 million in the same period last year due to lower volumes and an unfavourable shift in mix from specialty to staple products primarily in the U.K. As the U.K. economy continues to be impacted by the global economic downturn, Management remains focused on initiatives to sustain sales volumes and expand product offerings that deliver value at reasonable prices.

Adjusted Operating Earnings in the quarter decreased to $3.7 million compared to $5.9 million last year. Earnings from the U.K. bakery operations declined in the quarter due to the continued effects of the recession on sales of premium specialty bakery products and also as a result of higher manufacturing overheads. North American frozen bakery operations benefited from lower commodity costs.

Other Income (Expense)

Other expense was $0.1 million in the quarter compared to other income of $4.8 million last year. Year-to-date other income was $2.4 million (2008: $6.4 million). Year-to-date and 2008 other income were primarily comprised of insurance proceeds received to cover business interruption losses resulting from the oven fire at the U.K. bakery in 2008.

Other Matters

On October 27, 2009, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on January 4, 2010 to shareholders of record at the close of business on December 8, 2009. Unless indicated otherwise, by the Company, in writing at or before the time the dividend is paid, these dividends will not be considered an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, expectations regarding earnings potential in the fresh sandwich business, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Words such as "expect," "anticipate," "intend," "attempt," "may," "will," "plan," "believe," "seek," "estimate," and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these forward-looking statements are based on expectations concerning performance of the Company's business in general, and are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, United States and United Kingdom economies; the rate of exchange of the Canadian dollar to the U.S. dollar; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified under the "Risk Factors" in the Company's Annual Management's Discussion and Analysis will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements are discussed more fully under the heading "Risk Factors" in the Company's Annual Management's Discussion and Analysis for the year ended December 31, 2008 and updated in each quarterly Management's Discussion and Analysis that are available on SEDAR at www.sedar.com. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Canada Bread Company Limited, which is 89.8% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2008 sales of $1.7 billion and employs approximately 8,500 people at its operations across North America and in the United Kingdom.

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Consolidated Financial Statements
(Expressed in Canadian dollars)

CANADA BREAD COMPANY, LIMITED

Three and nine months ended September 30, 2009 and 2008

CANADA BREAD COMPANY, LIMITED
Consolidated Balance Sheets
(In thousands of Canadian dollars)

	As at September 30, 2009	As at September 30, 2008	As at December 31, 2008
	(Unaudited)	(Unaudited)	
ASSETS			
Current assets			
Cash and cash equivalents	$ 24,549	$ 20,328	$ 11,721
Accounts receivable	70,879	76,108	57,079
Inventories	58,266	58,451	58,696
Future tax asset	4,878	18,719	5,388
Prepaid expenses and other receivables	7,065	13,039	12,977
	$ 165,637	$ 186,645	$ 145,861
Property and equipment	392,695	408,160	417,150

Other long-term assets	10,616	9,815	9,964
Goodwill	392,456	395,181	404,484
Other intangible assets	18,775	18,331	17,451
	$ 980,179	$ 1,018,132	$ 994,910

LIABILITIES AND SHAREHOLDERS' EQUITY

Current liabilities			
Bank indebtedness	$ 4,357	$ 9,521	$ 8,894
Accounts payable and accrued charges	169,361	185,670	207,928
Due to Maple Leaf Foods Inc.	4,971	3,960	-
Dividends payable	1,525	1,525	1,525
Income and other taxes payable	13,610	18,560	10,860
Current portion of long-term debt	-	50	41
	$ 193,824	$ 219,286	$ 229,248
Long-term debt	-	78,453	4,477
Future tax liability	34,079	35,867	36,043
Other long-term liabilities	8,639	13,918	16,802
Shareholders' equity	743,637	670,608	708,340
	$ 980,179	$ 1,018,132	$ 994,910

CANADA BREAD COMPANY, LIMITED
Consolidated Statements of Earnings
(In thousands of Canadian dollars, except share amounts)

	Three months ended September 30,		Nine months ended September 30,	
(Unaudited)	2009	2008	2009	2008
Sales	$ 424,555	$ 443,086	$ 1,273,598	$ 1,263,373
Cost of goods sold	335,413	363,501	1,023,257	1,054,553
Gross margin	$ 89,142	$ 79,585	$ 250,341	$ 208,820
Selling, general and administrative expenses	52,227	47,726	158,935	145,019
Earnings from operations before the following:	$ 36,915	$ 31,859	$ 91,406	$ 63,801
Restructuring and other related costs	(597)	(5,718)	(1,271)	(8,410)
Other income (expense)	(113)	4,797	2,429	6,372
Earnings before interest and income taxes	$ 36,205	$ 30,938	$ 92,564	$ 61,763
Interest expense	673	2,147	3,980	5,982
Earnings before income taxes	$ 35,532	$ 28,791	$ 88,584	$ 55,781
Income taxes	10,482	9,064	26,115	17,305
Net earnings	$ 25,050	$ 19,727	$ 62,469	$ 38,476
Earnings per share - basic and diluted	$ 0.99	$ 0.77	$ 2.46	$ 1.51
Weighted average number of shares (millions)	25.4	25.4	25.4	25.4

CANADA BREAD COMPANY, LIMITED
Consolidated Statements of Comprehensive Income
(In thousands of Canadian dollars)

	Three months ended September 30,	Nine months ended September 30,

(Unaudited)	2009	2008	2009	2008
Net earnings	$ 25,050	$ 19,727	$ 62,469	$ 38,476
Other comprehensive income (loss)	(23,530)	(7,571)	(22,610)	1,664
Comprehensive income	$ 1,520	$ 12,156	$ 39,859	$ 40,140

Consolidated Statements of Retained Earnings
(In thousands of Canadian dollars, except per share amounts)

	Nine months ended September 30,	
(Unaudited)	2009	2008
Retained earnings, beginning of period	$ 587,163	$ 528,327
Net earnings	62,469	38,476
Dividends declared ($0.18 per share; 2008: $0.18 per share)	(4,575)	(4,575)
Retained earnings, end of period	$ 645,057	$ 562,228

CANADA BREAD COMPANY, LIMITED
Consolidated Statements of Cash Flows
(In thousands of Canadian dollars)

	Three months ended September 30,		Nine months ended September 30,	
(Unaudited)	2009	2008	2009	2008
CASH PROVIDED BY (USED IN):				
Operating activities				
Net earnings	$ 25,050	$ 19,727	$ 62,469	$ 38,476
Add (deduct) items not affecting cash:				
Depreciation and amortization	13,551	14,012	41,706	41,014
Future income taxes	(1,303)	1,817	(2,099)	1,394
Loss (gain) on sale of property and equipment	131	(34)	461	139
Asset impairments and change in provision for restructuring and other related costs	367	4,987	(607)	6,904
Amortization of terminated interest rate swap	672	-	1,317	-
Other	(562)	(218)	(2,593)	1,087
Change in non-cash operating working capital	(6,722)	1,154	(34,810)	(33,752)
Cash provided by operating activities	$ 31,184	$ 41,445	$ 65,844	$ 55,262
Financing activities				
Dividends paid	(1,525)	(1,525)	(4,575)	(4,575)
Net decrease in long-term debt	(15,038)	(11,768)	(4,518)	(29,145)
Settlement of cross-currency interest rate swap with Maple Leaf Foods Inc.	-	-	(8,502)	80,586
Cash provided by (used in) financing activities	$ (16,563)	$ (13,293)	$ (17,595)	$ 46,866
Investing activities				
Additions to property and equipment	(6,081)	(14,155)	(30,447)	(40,025)
Proceeds from sale of property and equipment	46	86	515	618
Acquisition of business, - net of cash acquired	-	(1,275)	-	(44,819)
Other	(7)	(58)	(952)	(97)
Cash used in investing activities	$ (6,042)	$ (15,402)	$ (30,884)	$ (84,323)
Increase in cash and cash				

equivalents	8,579	12,750	17,365	17,805
Net cash and cash equivalents, beginning of period	11,613	(1,943)	2,827	(6,998)
Net cash and cash equivalents, end of period	$ 20,192	$ 10,807	$ 20,192	$ 10,807

CANADA BREAD COMPANY, LIMITED
Segmented Financial Information
(In thousands of Canadian dollars)

	Three months ended September 30,		Nine months ended September 30,	
(Unaudited)	2009	2008	2009	2008
Sales				
Fresh Bakery	$ 287,285	$ 290,196	$ 840,546	$ 815,058
Frozen Bakery	137,270	152,890	433,052	448,315
	$ 424,555	$ 443,086	$ 1,273,598	$ 1,263,373
Earnings from operations before restructuring and other related costs and other income (expense)				
Fresh Bakery	$ 33,260	$ 25,985	$ 71,457	$ 51,131
Frozen Bakery	3,655	5,874	19,949	12,670
	$ 36,915	$ 31,859	$ 91,406	$ 63,801
Additions to property and equipment				
Fresh Bakery	$ 4,246	$ 5,912	$ 15,677	$ 17,085
Frozen Bakery	1,835	8,243	14,770	22,940
	$ 6,081	$ 14,155	$ 30,447	$ 40,025
Depreciation and amortization				
Fresh Bakery	$ 6,757	$ 7,122	$ 20,816	$ 20,975
Frozen Bakery	6,794	6,890	20,890	20,039
	$ 13,551	$ 14,012	$ 41,706	$ 41,014

	As at September 30, 2009	As at September 30, 2008	As at December 31, 2008
	(Unaudited)	(Unaudited)	
Total assets			
Fresh Bakery	$ 447,100	$ 459,396	$ 440,733
Frozen Bakery	493,270	507,191	523,843
Non-allocated assets	39,809	51,545	30,334
	$ 980,179	$ 1,018,132	$ 994,910
Goodwill			
Fresh Bakery	$ 155,949	$ 156,691	$ 156,268
Frozen Bakery	236,507	238,490	248,216
	$ 392,456	$ 395,181	$ 404,484

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SOURCE: Canada Bread Company, Limited

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